Nilkamal

Moulding A Better Tomorrow

2024

National Winners

Market Analysis

Market Size
of over $34.9 Billion in 2024
Source

Growth Drivers
Inc. population, E-commerce rise
Source

Online Sales Growth
15% increase annually
Source

Material Preference
Polymer & Plastic
Source

Growth Rate
CAGR 6.8% (2024-32)
Source

Research Methadology

2 Store Visits

10+ Customer Interviews

Ambitionbox Research

E-commerce Review Analysis

Literature Review

Market Size B2C

Urban Population
508Mn (2023)

Urban Households
115Mn

Urban Households with income >10L
6.9Mn

30% Kids (0-14)
9.31Mn

34% Youth(15-35)
10.55Mn

30% Adults(35-55)
9.31Mn

6% Seniors(55+)
1.55Mn

Willingness to purchase - Based upon primary interactions

Assumptions
Average Ticket price: INR 10,000

4% → **4220 Cr**

9% → **8379 Cr**

Total Market Size
12,599 Cr → **Opp. Size (30%)**
3,779.7 Cr

Competitor Analysis

Brand	IKEA	Cello	Alex Daisy	RoyalOak	Boingg	Other local manufacturer
Product Range	Very Wide	Specialized	Moderate	Wide	Wide	Variable
Price Points	Low to Moderate	High	Moderate to High	Low to Moderate	Moderate to High	Variable
Design and Innovation	Modern, functional	Functional	Colorful, ergonomic	Contemporary	Themed, Innovative	Varies
Market Presence	Global	Niche	Moderate in India	Strong in India	Moderate	Local
Customer Perception	Generally positive	Very Positive	Positive	Positive	Non existent	Positive
Strengths	Global reach, affordable, sustainable options	High-quality, unique designs	Focus on child safety	Affordable, varied options	Wide variety of themed furnitures	Flexibility, local reach
Weaknesses	Self-assembly might deter some	Higher price point	Limited reach	Less focus on kids' specific designs	Low online visibility	Inconsistent quality, limited innovation

Gaps in the market

Sources: 1 2 3 4 5

Trends & Right to Win

Macro Trends

- Rising demand for safe, quality furniture
- Booming E-commerce space
- Increasing urbanization
- Shift towards the organized retail

Current Standing

Market Leader in the plastic furniture segment

Strong manufacturing and distribution network

Way to Capitalize

Utilize plastic expertise for safe designs

Capitalize on brand trust for expansion

Expand product line using existing network

Gaps

Affordable Yet Durable Options

Themed and Designer Furniture

Features:

- Themed design
- Sturdy construction
- Built-in storage
- Customizable accessories

Space-Saving Solutions

The TuckAway

Features:

- Space-saving design
- Foldable desk,
- Built-in storage
- Easy wall mounting

Whitespaces

Educational Furniture

Learn-n-Play Desk

Presently very basic educational features

Features:

- Magnetic learning surface
- Adjustable height
- Storage for learning materials
- An ergonomic chair

Customisable and Modular Furniture

Grow-With-Me Wardrobe

Features:

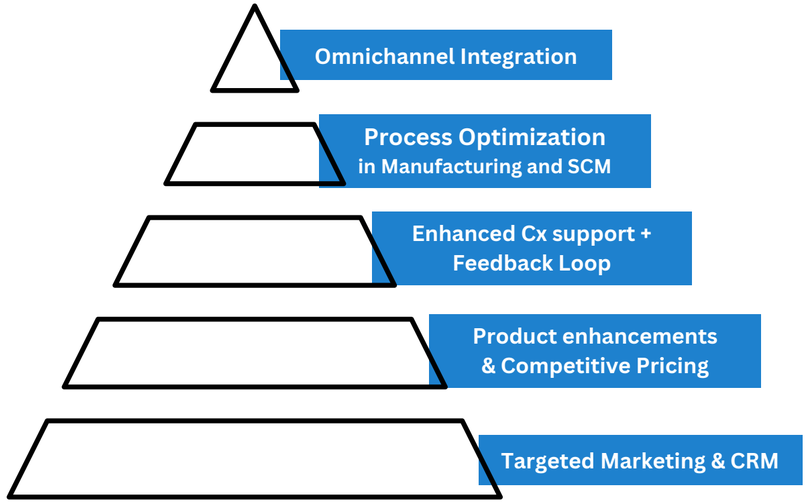
- Adjustable shelving
- Customizable colors
- Interchangeable doors
- Add-on modules like a mirror or desk attachment

Source: *1* | *2* | *3*

Defensible Position

Strengths	Weaknesses	Opportunities	Threats
Reputed brand image	High pricing	Expanding to foreign markets	Intense price competition
High-quality products	Weak online presence	Introducing new product lines	Competitors with comparable quality
Wide product range	Limited market communication	Capturing eco-friendly segment	Risk of losing market share
Long lasting goodwill of Nilkamal	Low market share in family segment	Leveraging digital channels for awareness	Need to reduce prices to stay competitive

Defensible Position Strategy



Nilkamal can solidify its market position by implementing an integrated omnichannel strategy, ensuring **seamless customer experiences** across all platforms, and optimizing manufacturing and supply chain processes to enhance **efficiency** and **reduce costs**. Strengthening customer support and establishing robust feedback mechanisms will allow for **continuous improvement** and **responsiveness** to consumer needs. Focused investment in targeted marketing and advanced CRM systems will enable **personalized** customer engagement, while strategic product development and competitive pricing ensure **market relevance** and **attract** a broader customer base.

B2C Customer Personas

Prisha Sharma, 32 y/o

- Married, 2 children (3 & 6)
- Ghaziabad
- Upper-middle Income
- School Teacher

Affordable Yet Durable Furniture

***Pain Points**: Limited durable, budget-friendly options.*
***Needs**: Sturdy, safe, affordable furniture.*
***Buying Behavior**: Shops locally, seeks value.*

Simran Ahuja, 35 y/o

- Married, 2 children (5 & 8)
- New Delhi
- High Income
- Marketing Manager

Themed and Designer Furniture

***Pain Points:** Limited stylish, themed options.*
***Needs:** Premium, themed, durable designs.*
***Buying Behavior:** Prefers boutique, designer brands.*

Rahul Mehta, 34 y/o

- Married, 1 child (4)
- Bengaluru
- High Income
- Software Engineer

Educational Furniture

***Pain Points:** Balancing screen time, learning.*
***Needs:** Interactive, educational, ergonomic furniture.*
***Buying Behavior:** Extensively researches, values innovation.*

B2B Customer Personas

Schools

- Large to Mid Sized (1k-2k children)
- Mumbai
- Affluent

"We believe a school's environment should inspire and nurture curiosity. We need durable, ergonomic furniture that adapts to the needs of our students and supports their growth. Creating a comfortable, flexible space where students can thrive is my priority. Every investment in our school's infrastructure must enhance both learning and well-being."

Customizable and Modular Furniture

***Pain Points:** Balancing budget, durability, engagement.*
***Needs and Goals:** Sturdy, modular, ergonomic classroom furniture.*
***Buying Behavior:** Prioritizes safety, bulk deals, innovation.*

Daycare/Creche

- Small-sized (100 children)
- Delhi
- Premium

"Our priority is creating a safe, fun, and engaging environment for the little ones. We need furniture that is not only durable but also space-efficient and easy to maintain. Every piece must encourage play, learning, and exploration while ensuring the safety and comfort of the children in our care."

Space-Saving Solutions

***Pain Points:** Safe, easy-to-clean furniture.*
***Needs and Goals:** Space-saving, child-friendly, durable pieces.*
***Buying Behavior:** Prioritizes safety, maintenance, reputation.*

Sources: 1

Buying Journey

Needs/Wants to Buy Furniture

- **Trigger**: New home or renovation
- **Emotional State**: Excitement or urgency
- **Considerations**: Style, size, budget

Search for Furniture

- **Research Phase**: Online search, store visits
- **Information Gathering**: Reviews, recommendations, inspiration
- **Touchpoints**: E-commerce, social media, stores

Evaluates Compatibility

- **Comparison**: Price, quality, aesthetics
- **Physical Evaluation**: Store visits, measurements
- **Decision-Making**: Fit with lifestyle, taste

Purchase

- **Final Decision**: Price, style, reviews.
- **Payment**: Online or in-store.
- **Delivery and Assembly**: Delivery speed, fees, assembly.

Post - Purchase

- **Delivery & Assembly Experience**: Check for damages. Ease of assembly.
- **Usage Evaluation**: Comfort, durability, appearance.
- **Customer Service**: Handling issues, satisfaction.
- **Long-Term Satisfaction**: Durability, repeat purchases.

Seating | Rs. 1,000 - 2,000

Ergonomic | **Lightweight** | **Comfortable**

Types **:**
1. *Stackable chairs*
2. *Adjustable stools*

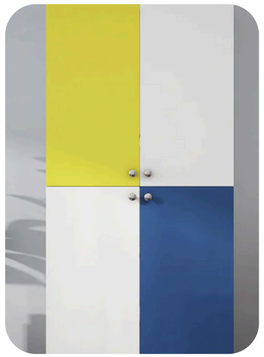
Material

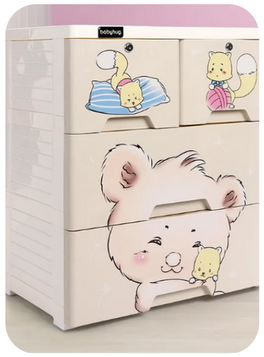
Beds & Bunks | Rs. 25,000 - 40,000

Safety rails | **Durable** | **Storage**

Types **:**
1. *Bunk Beds*
2. *Single, Double Beds*
3. *Functional Beds*

Material





Wardrobes | Rs. 20,000 - 40,000

Ample compartments | **Reachable** | **Bright & Aesthetic**

Types **:**
1. *Two Door Wardrobe*
2. *Three Door Wardrobe*
3. *Slider Wardrobe*

Material

Tables | Rs. 3,000 - 5,000

Scratch-resistant | **Rounded corners** | **Height adjustable**

Types **:**
1. *Height Adjustable*
2. *L Shape*
3. *Activity Tables & Chair sets*

Material

Storage & Book Shelves | Rs. 8,000 - 10,000

Modular design | **Child-friendly height** | **Bright colors**

Types **:**
1. *Vertical*
2. *Modular*
3. *Wall mounted*

Material

Baby Products | Rs. 5,000 - 10,000

Non-toxic materials | **Easy to clean** | **Helpful**

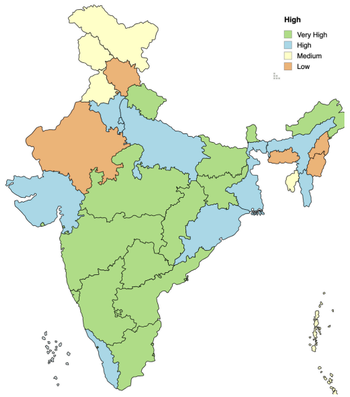
Types **:**
1. *Baby Crib / Baby Cot*
2. *Pram / Strollers*
3. *Safety Products*

Material

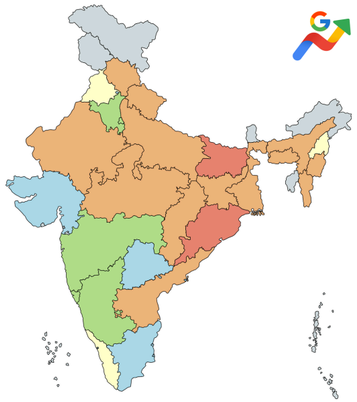
Source: 1 | 2 | 3

Competitor Analysis | Whitespaces and gaps | Target Customer | MVP | **Regions, Channel + Existing Infra**

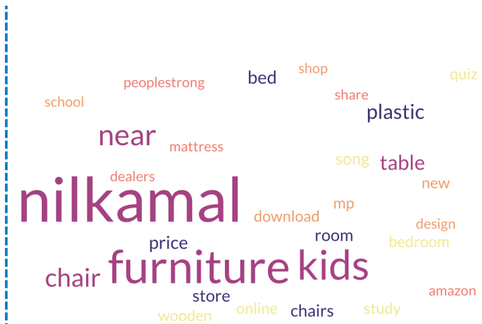
Region-wise Analysis



keyword: Nilkamal



keyword: Kids furniture



related searches (Pan India)

Growth Drivers

- Disposable incomes
- Urbanization
- Lifestyle upgrades
- Social Media influence

Tier -1
Main Target
CAGR **45%**

South -West
Most Lucrative Region
- Demand for Kids Furniture
- Brand Equity of Nilkamal

SEO & Online Presence
81% of consumers research online before buying

Source: *1* | *2* | *3*

Multi-Channel Attribution Framework

Sales Channel	Key Drivers	Advantages	Challenges
Online E-commerce	Urbanization, Digital Penetration	Wide reach, Scalability, Convenience	High competition, Reliance on algorithms
Exclusive Brand Outlets (EBOs)	Increasing Family Incomes, Child-Specific Designs	Direct customer interaction, Brand control	High operational costs, Limited reach
Multi-Brand Retail Stores	Urbanization, Increasing Family Incomes	Access to established customer bases, Reduced marketing costs	Less control over branding, In-store competition
Direct Sales to Schools/Playcenters	Institutional Growth	Steady demand, Volume orders	Longer sales cycles, Budget constraints
Social Media & Influencer Marketing	Digital Penetration, Premiumization	High engagement, Targeted advertising	Continuous content need, Managing public perception

B2B Sales

10% Furniture Sales online (exp.)

Parents in Tier-1 **search** and **buy** kids furniture Online

Existing Infra

1 Resources and Capabilities
List the resources and capabilities
Financial | Human | Material | Non-material

2 VRIO Analysis
Use the four VRIO questions to evaluate the resources/capabilities

Valuable → Yes → Rare → Yes → Inimitable → Yes → Organized → Yes

No | No | No | No

Is there the **potential to improve** resources/capabilities with a "No" answer?

No → Plan to **get back** to the resource/capability when the conditions change.

Yes → How can we **maintain/improve** the resource/capabilities?

3 Strategy Map
Use the most promising resources/capabilities to formulate a strategic hypothesis

Maintain the R/C

Improve the R/C

Resource/Capability	V	R	I	O	Maintain / Improve Strategy
Extensive Production & Distribution Network					**Continue** optimizing logistics and **expand** product distribution.
Robust Supply Chain Management					**Diversify suppliers** and incorporate more **sustainable** materials.
Online and Retail Sales Strategy					**Expand online presence** and integrate **omni-channel** retailing.
Techno-Commercial Expertise					Invest in ongoing training and development to **sustain competitive advantage**.
Safety and Health Standards					Keep **stringent safety** standards and use them as a **marketing** point.
Employee Engagement and Wellbeing					Continue fostering a **positive work** environment to boost **productivity** and **innovation**.

Whitespaces and gaps → Target Customer → MVP → Regions, Channel + Existing Infra → **4Ps + Existing Infra**

Leveraging Existing Infra

Design Expertise

- **400+** techno-commercial experts
- **Deploy** this expertise in designing innovative, safe, and child-friendly furniture

Utilizing the Vast Production & Distribution Network

- **10 lakh sq ft** of manufacturing facilities
- **71 warehouses**
- **1,267** Distributors

Managing Supply Chain Risks

- Strong supplier **relationships**
- **Robust supply chain** management
- Efficient risk handling capabilities

Online and Retail Store Sales Strategy

- Wide network of **21,200 retail stores**
- Significant **brand presence**
- Nilkamal **Website**
- **eCommerce** sales partnerships

Optimizing Logistics

- **Geographical spread** of manufacturing
- **Reduces** transportation **time** and **costs**
- Reduces **emissions**

KPIs

- Customer Satisfaction Scores
- Sales Growth
- Supply Chain Efficiency

Positioning

Nilkamal crafts **innovative** and **safe** kids' furniture that combines **fun**, **educational themes** with **durability** and **affordability**, fostering **growth** and **inspiring young minds in every home.**

Product Strategy

Premium Customizable Products

- High degree of **customization** and **luxury** features
- **Unique**, tailor-made solutions

Grow With Me Furniture

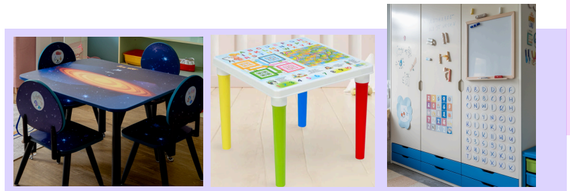
- **Customizable** and adaptable **over time**
- **Modifiable** as the **child ages**

Foldable & Storage Options — **Space Saving**

- Maximizes **usability**
- Highly **functional**
- **Versatile** solutions

Educational & Interactive

- Integrates **educational** components
- **Learning** a part of daily routine
- Fostering **creativity**



Educational can be games, Galaxy-Planet Names, Water Cycle, States, Languages, etc. anything that a young kid is taught in KGs

Enhanced Products

- Adds elements of color and thematic designs; **aesthetic**
- Primarily **functional**

Basic Products

- Basic, durable, and comfortable kids' furniture (**essential** needs)
- **Entry point** in the product lineup

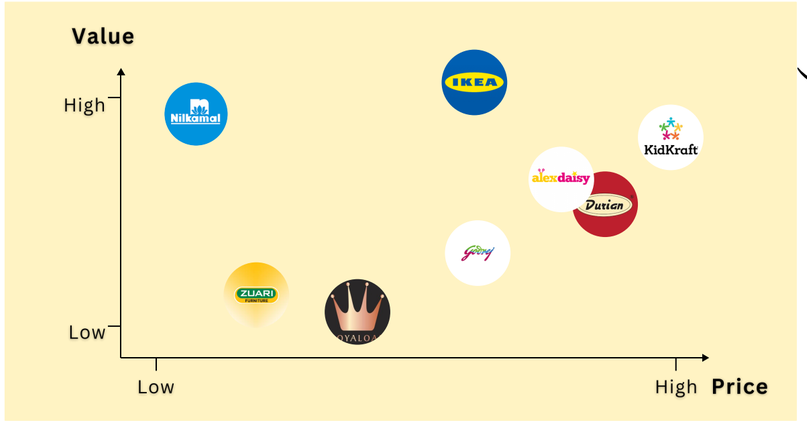
Other Features

- Non Toxic Material
- Rounded Edges
- Scratch Resistant

Source: 1 | 2 | 3

Target Customer → MVP → Regions, Channel + Existing Infra → 4Ps + Existing Infra → **4Ps**

Price



Value based pricing

- Quality Perception
- Ensures affordability

A middle-income family that needs cost-effective solutions without compromising too much on quality.

Bundled pricing

- Combine complimentary product
- Increase avg transaction size

A family looking to purchase multiple pieces of furniture that work well together, such as a bed, study desk, and storage.

Psychological pricing

- Charm pricing
- Perceived affordability

Parents who need to stick to a budget but also want their children to have furniture that doesn't look cheap.

Place

Online channels

- Offer 3D and AR tools for customers to visualize furniture in their homes before purchase.
- Partner with top online marketplaces and enhance Nilkamal's online store to reach tech-savvy customers.
- Strengthen Nilkamal's DTC platform

Offline channels

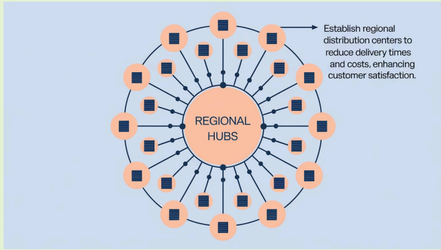
- Focus on tier-1 cities like Mumbai, Ahmedabad, Hyderabad, Bengaluru for offline sales

- Partner with top kids' stores to showcase and sell Nilkamal furniture in their shops.

- Leverage franchise stores to penetrate into Tier-2, Tier-3 cities like Pune, Jaipur, Coimbatore

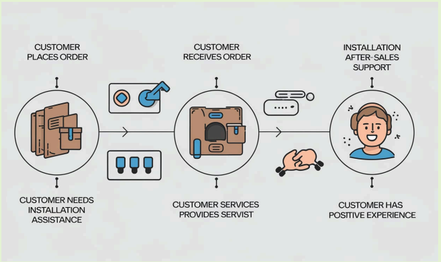
Distribution

Regional Hubs



- Faster Delivery:
- Improved Customer Satisfaction
- Flexibility
- Lower Shipping Costs

Post Purchase Support



- Maintenance Packages
- Online Support Portal
- Virtual Assistance
- Customer Feedback Channels

MVP | Regions, Channel + Existing Infra | 4Ps + Existing Infra | 4Ps | **Promotions**

B2C

B2B

Exhibitions and Trade Fair

B2B

Generate leads

Direct Sales through Networking

Motivations to Make Purchase Decision

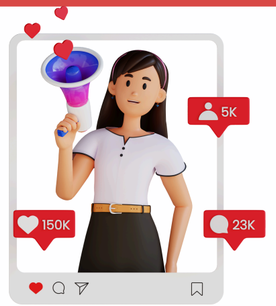
FLASH SALE

Buy - Online - Pick up - In - Store

User Generated Content at the Exhibition

+

Influencer Collaborations



Social Media

Word of mouth

B2C B2C B2C

Social Media Ads

Content Marketing

Repeat Purchase

CUSTOMER LOYALTY PROGRAM

B2C

Experience Stores

Promotional Strategies

Omnichannel Strategies

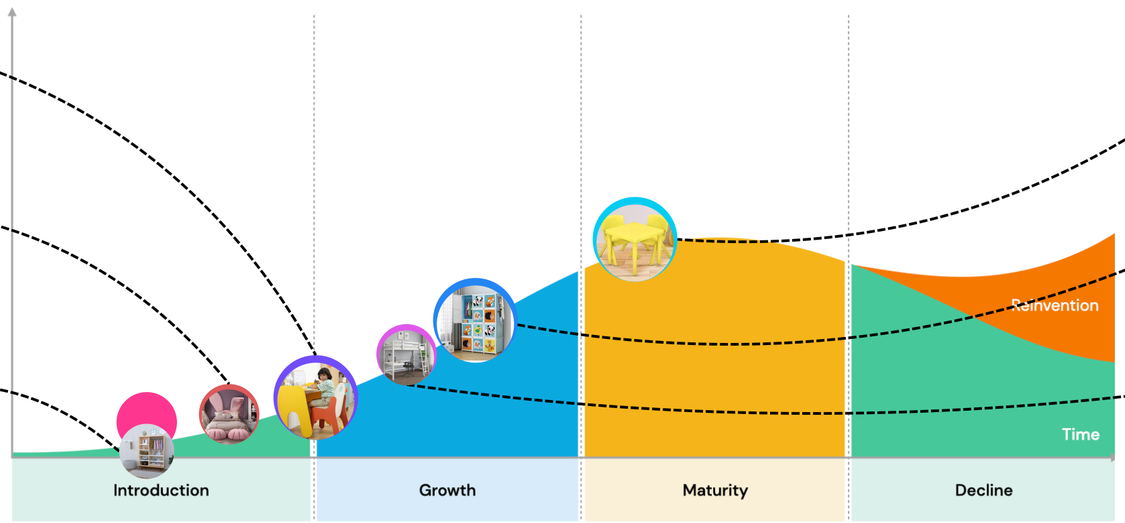
Regions, Channel + Existing Infra » 4Ps + Existing Infra » 4Ps » Promotions » **Implementation**

Product Life Cycle

Educational
- Relatively new innovations
- Enhance product **visibility** through **targeted** marketing campaigns

Luxury
- **Niche** segment
- Build **brand prestige** and awareness through **high-end marketing** channels

Grow-with-me
- Parents recognise **long-term value**
- Demonstrate the value and **cost-effectiveness** of these products



Basic
- High levels of consumer awareness and acceptance.
- Focus on **competitive pricing**, improving **distribution efficiency**.

Enhanced
- Invest in **marketing** these visually appealing features
- Expand the **product range** to **capitalize** on consumer **interest**

Space Saving
- Introduce **multifunctional** designs
- Cater to small living spaces, leveraging **urban trends**

Implementation Plan

	2024	2025				2026		
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
Products	Basic and Enhanced Products							
		Space Saving Products (MVPs)		Space Saving (Enhanced)				
		Educational Products (MVPs)			Educational Products (Enhanced)			
				Grow-with-me Furniture				
							Premium Furnitire	
Omnichannel								
					Buy-Online-Pickup-In-Store (BOPIS)			
							Experience Stores	
Promotions	Social Media Ads			Social Media Ads 2.0			Social Media Ads 3.0	
	Content Marketing							
				Flash Sale				Flash Sale
				Exhibitions and Trade fairs			Exhibitions and Trade fairs	
			Influencer Collaborations					
					Loyalty Program			

Key Launches

Launch in Phases

Tier -1 Initial Launch » **Tier -2** In South-West » **Tier -2** Nearby Tier-1 » **Tier -2** Remaining

Channel Strategy

Online & Social Media Initial Launch » **Integration of Offline Channels** » **Omnichannel Integration**